Naval Godrej, Parekh's good friend, also sometimes joined him for a 'dabba lunch.' Both Naval and Parekh were keen that the vast Godrej lands in Vikhroli should be used to build a modern town close to Mumbai. This was something which was dear to both of them but a dispute regarding ownership of the land with the government put paid to their hopes. Parekh later recalled, 'I think he had many dreams. He realized many dreams, but I was connected with one dream, which was not fulfilled. He put a lot of faith in me about helping him build a modern town close to Mumbai. He dreamt about it, he sought to realize it. I tried to help him with it, but so far it has not been realized and yet I have not given up hope.'[9]

From the beginning, ICICI played the role of big brother. Without the many initiatives of ICICI, HDFC would not have seen the light of day, something Parekh was quick to acknowledge. In fact he was still the Chairman of ICICI when HDFC was launched. ICICI prepared the initial feasibility report; and by its own substantial investment helped in securing the participation of the IFC at Washington, of the Aga Khan, and also in mobilizing investment in HDFC equity by banks, the LIC, GIC, and other industrial companies. In addition to the promotional work for setting up HDFC, ICICI also offered to manage HDFC's issue of equity to the public. In his speech at the launch of HDFC on October 22, Parekh singled out some of his colleagues for praise. He said that B.C. Randeria, N.L. Hingorani, H. Nanjundia, and B.D. Desai worked tirelessly on various aspects of the scheme.[10]

One of the first things Parekh did when HDFC was set up was to request Keshub Mahindra, Chairman of Mahindra & Mahindra, to be Vice Chairman of HDFC. Mahindra had been the non-executive Chairman of HUDCO and had an abiding personal interest in housing. Parekh knew Mahindra well as he had been on the Board of ICICI. Mahindra accepted the invitation out of personal respect for Parekh. He had total confidence in Parekh and knew him to be a man of great intelligence, ability, and above all unimpeachable integrity. Mahindra continues to hold this post.

The fledging HDFC's operations began actively in mid-1978 from its Bombay office, with its first loans for housing being sanctioned on July 18, 1978. The first borrower was a person called Remedios from Thane who took a loan for ₹30,000 to build a small house on the land that he owned. Deepak Parekh, H.T. Parekh's elder brother Shantilal's son, who joined